SADC HUMANITARIAN AND EMERGENCY OPERATIONS CENTRE

TRAINING MANUAL

Finance & Accounting

SOP 1.1: Fund Allocation & Budgeting | SOP 1.2: Financial Reporting | SOP 1.3: Expenditure | SOP 1.4: Internal Controls & Audit

Based on SOP Volume 1, Version 4.0 — Structured per UNDAC Mission Cycle

Classification:	CONFIDENTIAL
Version:	1.0
Effective Date:	April 2026
SOP Reference:	Volume 1, v4.0 (SOPs 1.1–1.4)
Annexes:	50 Operational Templates (SOP 1-A to SOP 1-AX)
Target Audience:	Finance Officers, Audit Staff, ERT Finance, NDMA Finance Focal Points

Benchmarked: SADC Financial Regulations (2024) | UNDAC 8th Ed. | IFRC Surge Toolbox | IPSAS | ISO 22301 | Sendai Framework

Table of Contents

1. Introduction and Purpose 3
2. Terms and Abbreviations 3
3. How to Use This Manual 4
4. Governance, Roles and Approval Limits 5
5. SOP 1.1: Emergency Fund Allocation, Planning and Budgeting 6
6. SOP 1.2: Financial Reporting and Documentation 7
7. SOP 1.3: Financial Expenditure 8
8. SOP 1.4: Internal Controls and Audit 9
9. BGYOR Risk Matrix 10
10. Cross-SOP Integration 11
11. Annex Toolkit Quick Reference 12
12. Monitoring, Records and Training 13
13. Assessment and Competency Verification 14

1. Introduction and Purpose

This Training Manual is a companion document to SHOC SOP Volume 1: Finance & Accounting, Version 4.0. It provides Finance Officers, Audit staff, ERT-deployed Finance Officers, and NDMA Finance Focal Points with practical, SOP-by-SOP guidance on the integrated financial lifecycle structured per the UNDAC Mission Cycle.

The four SOPs operate as an integrated financial lifecycle: **SOP 1.1 (Emergency Fund Allocation, Planning and Budgeting), SOP 1.2 (Financial Reporting and Documentation), SOP 1.3 (Financial Expenditure), and SOP 1.4 (Internal Controls and Audit).**

Guiding Principles: Humanity, Impartiality, Neutrality, Independence; Accountability, Transparency, Ethical Governance; Localisation (≥20% to local actors); Segregation of Duties and Dual Authorisation; Risk-Based Auditing (BGYOR); Digital Auditability via IFMS; Continuous Learning from AARs.

2. Terms and Abbreviations

The following terms are essential. A full list is in SOP Section 11.

Abbreviation	Full Form
AAR	After-Action Review
BGYOR	Blue, Green, Yellow, Orange, Red — Risk rating framework
ED	Executive Director (SHOC)
EEP	Emergency Expenditure Protocol
ERT	Emergency Response Team
GB	Governing Board
HoP	Head of Programmes
ICP	International Cooperating Partner
IFMS	Integrated Financial Management System
IPSAS	International Public Sector Accounting Standards
KRA	Key Result Area
NDMA	National Disaster Management Authority
ROC	Resource Mobilisation Operations Centre
SADC	Southern African Development Community
SCM	Supply Chain Management
SHOC	SADC Humanitarian and Emergency Operations Centre
SIMEX	Simulation Exercise
Virement	Movement of funds between KRAs (requires Accounting Officer approval)

3. How to Use This Manual

Each SOP section follows the UNDAC Mission Cycle phases: Preparedness, Alert, Activation and Mobilisation, Operations, and Demobilisation and Transition. Each section provides:

Phase Purpose: What happens financially and why.

Key Tasks: Critical actions with responsible officer and time thresholds.

Annex Toolkit: Which of the 50 Annexes to use.

Approval Thresholds: SADC-compliant financial authorisation levels.

Trainer's Notes: Common errors, SIMEX scenarios, and assessment cues.

3.1 UNDAC Operational Cycle for Finance

Phase	Finance Objective	Key Outputs
Preparedness	Maintain readiness, compliance, BCM resilience	Annual Budget, Cash Facility Register, Training Records
Alert	Prepare for possible activation; pre-clear procurement	EW Finance Trigger Reports, Pre-clearance Records
Activation & Mobilisation	Rapid fund disbursement (≤48 hrs)	EEP Activation Notice, Disbursement Records
Operations	Support response through real-time financial oversight	Financial SITREPs, Weekly Reports, Audit Feed Reports
Demobilisation & Transition	Accountability, evaluation, closure	Audit Findings, Corrective Action Log, Updated Risk Register

4. Governance, Roles and Approval Limits

SOP Reference: Section 3

4.1 Governance Layers

Regional: Committee of Ministers; SHOC Governing Board (approvals >USD 250,000). Secretariat: Executive Director; Head of Programmes; Finance & Administration Unit. Operational: ERT Finance Officers; Resource Mobilisation Operations Centre (ROC). National: NDMA Finance Focal Points. Audit: SADC Internal Audit Unit; External Auditors; SADC Audit Committee.

4.2 Financial Approval Limits

Amount (USD)	Approving Authority	Documentation Required
≤5,000	ERT Finance Officer	Single signature + receipts
5,001–25,000	Head of Programmes	Dual signatures + Purchase Order
25,001–100,000	Executive Director	Dual signatures + Board note
100,001–250,000	ED + Chair	Full documentation package
>250,000	SHOC Governing Board	Board resolution required

Emergency thresholds apply during Operations phase with post-facto approval and full audit trail.

4.3 Trainer's Notes

Critical learning point: Dual authorisation is mandatory for all expenditure above USD 5,000. Simulate a scenario where an ERT Finance Officer attempts to approve USD 8,000 with a single signature — this is a control failure. Also test virement controls: movement of funds between KRAs requires Accounting Officer (ED) approval; trainees must identify this requirement.

5. SOP 1.1: Emergency Fund Allocation, Planning and Budgeting

SOP Reference: Section 4 (Phases 4.1–4.5)

SOP 1.1 enables rapid, accountable mobilisation of emergency funds with transparent budgeting and traceable workflows from activation to audit.

Phase	Key Tasks	Timeline	Annex
Preparedness	Integrate DRR into annual budgets; establish MoUs for fund availability; maintain contingency fund; link to EW triggers; conduct annual SIMEX	30–90 days	1-AT, 1-F, 1-I
Alert	Confirm fund availability from SADC Fund, ICPs, MS, private sector; pre-clear emergency procurement pathways; brief ERT Finance	Upon EW threshold	1-J
Activation	ED triggers activation (≤12hr); establish ROC (≤24hr); confirm funding sources (≤6hr); approve fund drawdown with dual signatories (≤3hr); activate IFMS tracking	≤24 hrs	1-F, 1-G, 1-L
Operations	Deploy Finance Officers with ERTs (≤12hr); process emergency procurement under EEP waivers (≤6hr); record all transactions in IFMS (≤24hr); field spot audits (≤48hr); coordinate ICP funds through ROC	Continuous	1-B, 1-E, 1-N
Demobilisation	Variance analysis (≤10 days); AAR (≤30 days); update risk register (≤45 days); recommend SOP revisions (≤60 days); archive and close (≤90 days)	≤90 days	1-D

5.1 Trainer's Notes

SIMEX focus: The annual SIMEX must test the complete fund activation sequence: ED declaration → ROC establishment → funding confirmation → dual-signatory drawdown → IFMS tracking. The critical time threshold is fund disbursement within 48 hours of activation. Test whether trainees can establish the ROC within 24 hours and process the first emergency disbursement within 6 hours.

6. SOP 1.2: Financial Reporting and Documentation

SOP Reference: Section 5 (Phases 5.1–5.4)

SOP 1.2 ensures real-time visibility of funds via IFMS dashboards and maintains auditable documentation for ICPs and auditors. It activates upon fund mobilisation under SOP 1.1.

Phase	Key Tasks	Annex
Preparedness	Design IFMS Reporting Template F-01; define reporting cycles linked to EW triggers; approve reporting framework; conduct induction workshops; assess competence	1-O, 1-P, 1-Q, 1-R, 1-AX
Activation	Receive emergency declaration and log in IFMS; trigger auto-report mode (≤1hr); verify ROC data feeds (≤2hr)	1-S
Operations	Collect verified field transactions daily; enter into IFMS with auto-sync to ROC (≤24hr); compile daily financial SITREP (≤26hr); aggregate into weekly summary; validate and submit to Finance Council	1-T, 1-U, 1-AU
Demobilisation	Trigger quarterly audit review (≤15 days); integrate reports into Dashboard; disclose fund use to ICPs/MS (≤5 days); archive all records	1-V, 1-W, 1-X

6.1 Trainer's Notes

Practical exercise: Set up a scenario with 5 days of field financial transactions. Require trainees to: (a) enter all transactions into IFMS within 24 hours, (b) produce a daily SITREP using template DFS-01 (Annex 1-T), (c) aggregate into the weekly summary using WCR-01 (Annex 1-U), and (d) identify and report a budget variance exceeding 10% using BVA-01 (Annex 1-V).

7. SOP 1.3: Financial Expenditure

SOP Reference: Section 6 (Phases 6.1–6.5)

SOP 1.3 regulates authorised disbursement across all disaster phases, operationalising funds mobilised under SOP 1.1 and feeding data to SOP 1.2 for reporting.

Phase	Key Tasks	Annex
Preparedness	Classify expenditure categories into Catalogue EX-01; set approval limits via Threshold Matrix; configure IFMS; prepare annual contingency budget BG-01; establish emergency cash facilities; train staff	1-Y, 1-Z, 1-AA, 1-H
Activation	ED triggers EEP; HoP authorises fund release (immediate); disburse to ERT field accounts (≤6hr); ERT Finance records via mobile IFMS (continuous)	1-F, 1-AB
Operations	Manage cash and field payments daily; monitor against thresholds continuously; apply virement controls; process emergency procurement waivers; sync all transactions within 24hr	1-AC to 1-AG, 1-AV
Demobilisation	Post-disaster reconciliation (≤15 days); reprioritise funds for recovery (≤48hr); final expenditure closure and archive (≤90 days)	1-AH, 1-AI, 1-AJ

7.1 Trainer's Notes

Critical test: Simulate a field scenario where an ERT Finance Officer needs to process three expenditures: USD 3,000 (within single-signature authority), USD 12,000 (requires dual signature from HoP), and USD 30,000 (requires ED approval). Require trainees to correctly identify the approval authority for each, complete the correct documentation, and record all transactions in IFMS within 24 hours. Also test the virement requirement when attempting to move funds between KRAs.

8. SOP 1.4: Internal Controls and Audit

SOP Reference: Section 7 (Phases 7.1–7.3)

SOP 1.4 establishes preventive and detective internal controls, ensuring compliance with SADC Financial Regulations, IPSAS, and ISO 22301. It provides the assurance framework for SOPs 1.1–1.3.

Phase	Key Tasks	Annex
Preparedness	Map financial processes in IFMS; develop Internal Control Checklist IC-01; pre-disaster asset management (monthly register, quarterly audits, tagging); train finance/audit teams quarterly	1-AK, 1-AL, 1-AM
Operations (During Disaster)	Initiate concurrent audit (≤24hr post-EEP); activate IFMS audit dashboard; daily verification of cash/procurement against thresholds; enhanced field asset controls; activate whistle-blower mechanism	1-AN, 1-AO, 1-AP
Demobilisation (Post-Disaster)	Comprehensive risk-based audit (≤60 days); post-disaster asset reconciliation (≤15 days); review findings with Finance Council; agree corrective actions (≤75 days); update control matrices and SOPs (≤90 days)	1-AQ, 1-AR, 1-AS, 1-AW

8.1 Concurrent Audit Model

The concurrent audit operates in real-time during disaster operations, not as a post-facto exercise. The Internal Audit Manager activates the IFMS audit dashboard within 24 hours of EEP activation. Live transactions are monitored against approved thresholds with automated alerts for exceptions. Field auditors conduct daily verification of cash and procurement transactions. This model provides assurance while operations are ongoing, enabling immediate corrective action.

8.2 Trainer's Notes

Assessment focus: Simulate a scenario with 3 audit exceptions: (a) an expenditure exceeding approval threshold without correct authorisation, (b) a field asset not recorded in the Mission Asset Register, (c) a procurement waiver without supporting documentation. Require trainees to identify each exception via the IFMS audit dashboard, document in the Field Verification Log (Annex 1-AO), and initiate the correct corrective action pathway. Also test the whistle-blower mechanism: present a scenario where a trainee observes suspected fund misallocation.

9. BGYOR Risk Matrix

The common risk matrix applies across all four SOPs. Trainees must know the five levels and their action thresholds:

Level	Score	Meaning	Action Threshold
Blue	1–4	Negligible risk; routine	Standard monitoring; log and review quarterly
Green	5–8	Low risk; minor impact	Unit-level response; Finance Officer monitors; report in weekly summary
Yellow	9–12	Moderate risk; active management	HoP notified; enhanced monitoring; daily reporting; pre-position corrective resources
Orange	13–16	High risk; significant impact	ED notified; activate BCM; ROC on standby; Governing Board informed within 48hr
Red	17–25	Critical; existential threat	Immediate ED and GB intervention; full BCM; external audit triggered; expenditure frozen

Key risk categories: procurement delay, supplier failure, budget overrun, fund misallocation, IFMS system failure, ICP pledge shortfall, audit non-compliance, asset loss/diversion, exchange rate volatility, cash facility compromise.

10. Cross-SOP Integration

Finance SOPs integrate with all other SHOC SOP Volumes. Trainees must understand these mandatory interface points:

SOP Volume	Integration with Finance
Vol 2: Early Warning & Monitoring	EW triggers inform financial readiness, budget scaling, and reporting cycles
Vol 3: ICT & Emergency Telecoms	IFMS connectivity, ROC data feeds, secure report transmission, emergency financial approvals
Vol 4: Emergency Response Teams	ERT Portal Step 4 → EEP activation; ERT Finance deployment; daily logistics/finance briefing; asset reconciliation at demobilisation
Vol 8: Supply Chain Management	EPF funding for emergency procurement; procurement approval thresholds; asset register reconciliation; stockpile valuation
HR & Administration	HR mobilisation costs; staff per diem/deployment tracking; training expenditure monitoring

11. Annex Toolkit Quick Reference

Key annexes grouped by SOP (50 total — see full register in SOP Section 13):

Group	Key Annexes	Function
SOP 1.1 Fund Allocation	1-A to 1-N, 1-AT	Financial Control Matrix, Procurement Workflow, Audit Trail, Risk Assessment, Fund Allocation, Approval Matrix, Budget, Forecast, EW Trigger, SIMEX, ROC Log, Fund Confirmation, Resource Tracker, MoU Template
SOP 1.2 Reporting	1-O to 1-X, 1-AU, 1-AX	IFMS Reporting Template, MEL Calendar, Training Record, Staff Readiness, ROC Data Confirmation, Daily SITREP, Weekly Report, Budget Variance, AAR Financial, Lessons Learned, Donor Report, Competency Assessment
SOP 1.3 Expenditure	1-Y to 1-AJ, 1-AV	Expenditure Catalogue, Threshold Matrix, IFMS Config, EEP Activation, Payment Voucher, Spot Verification, Imprest Top-Up, Daily Expenditure Tracker, Expenditure Variance, Reconciliation, Financial Closure, Archive Log, Virement Form
SOP 1.4 Controls & Audit	1-AK to 1-AS, 1-AW	Process Control Register, Internal Control Checklist, Audit Training, Live Audit Feed, Field Verification, Whistle-Blower Register, Audit Findings, Corrective Action Log, Updated Control Matrix, Asset Reconciliation

12. Monitoring, Records and Training

SOP Reference: Section 10

12.1 Key Performance Indicators

≥90% of SHOC Finance staff trained annually; ≥80% of ERT Finance Officers participating in SIMEX; ≥85% improvement in audit compliance post-training; 100% integration of AAR findings into next training cycle.

12.2 Records Retention

Category	Retention	Access
Financial Records (fund allocation, vouchers, audit reports)	10 years	Restricted — Finance & Audit
Operational Records (activation orders, ROC minutes, procurement)	7 years	Controlled — Operations & ERT
Communication Logs (emails, SITREPs, conference minutes)	5 years	Confidential — Authorised users
M&E / Evaluation (AARs, Post-Operation Evaluations)	Permanent	Public summary / Internal full
Training / SOP Revisions	Current + 3 years	Internal — M&E

13. Assessment and Competency Verification

Competency in SHOC financial operations is assessed through practical exercises aligned to the four-SOP structure.

Competency	Assessment Method	Minimum Standard
Financial approval limits	Scenario: classify 5 expenditures by approval authority	Correct authority for all 5
EEP activation sequence	SIMEX: execute complete activation within time thresholds	ROC within 24hr; first disbursement within 6hr
IFMS transaction recording	Practical: enter 10 field transactions with correct coding	All transactions within 24hr; correct category coding
Daily Financial SITREP production	Complete Annex 1-T from operational scenario data	All sections complete; submitted within 26hr
Budget variance analysis	Complete Annex 1-V and identify variances >10%	All variances identified; causes documented
Concurrent audit dashboard	Identify 3 exceptions from live IFMS data	All exceptions identified; correct corrective action
Internal Control Checklist	Complete Annex 1-AL for a simulated operation	All controls assessed; non-compliances documented
Virement control application	Scenario: identify when virement approval is required	Correct identification; ED approval obtained
Post-disaster reconciliation	Complete Annex 1-AH from operational data	All transactions reconciled; variances explained
BGYOR risk classification	Written test: classify 5 risk scenarios by BGYOR level	Correct level and action threshold for all 5

Certification requirement: Finance Officers and Audit staff must demonstrate competency across all ten areas before assuming operational roles. Bi-annual SIMEX exercises and annual joint drills provide the primary assessment vehicle. Results are recorded in the Finance Staff Readiness Matrix (Annex 1-R) and reviewed by the Head of Programmes.

— END OF TRAINING MANUAL —